

Paperstreet BTC

An alternative vision for Canadian monetary policy

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The frame that loses the room

A mainstream economist or portfolio manager does not need to bet on the end of fiat to take Bitcoin seriously. The gold-bug narrative demands exactly that: hyperbitcoinization is coming soon and sudden, the central bank is the enemy, and any year the Bank of Canada hits its inflation target is merely a delay. That frame is off-putting because it asks people with real mandates and real portfolios to adopt a collapse as the price of admission. It misses how Bitcoin actually improves the world while the loonie is still the wage and tax currency.

Friedman: the exit as a rule

The better frame is Friedman's. A rule beats discretion. Bitcoin's fixed issuance path is already written in a way no Ottawa committee can amend. It is not Canada's k-rule, but it functions like an external benchmark. When Bitcoin use is taxed as a capital gain, the exit is legal but clumsy, so the Bank barely feels the pressure. Liberalize the transaction. Treat spending, payroll, and settlement in Bitcoin as currency use, not a disposition. A loose loonie policy then shows up immediately as people walking out the door. The issuer has a real incentive to behave as if a rule were binding. That is a k-rule result produced by competition, not by a new memo at the Bank.

The US dollar stablecoin

The same mechanism works against the US dollar. The regulated dollar stablecoin already exists in the United States. Canada does not need to invent one, and Canadian banks do not need to issue it or warehouse the reserves. Use the product Washington has already approved. A recognition rule is the update: a par-redeemable, US-regulated dollar stablecoin can settle a debt already written in US dollars. About seven in ten goods exports go south. Two-thirds of liquid reserves are already in dollars. Letting that stablecoin clear here is catching the statute up to the invoice. Canada stays a price taker on the instrument and keeps the loonie as the shock absorber. It is not full dollarization. It is just a practical policy for Canadians.

The shock absorber

The loonie tends to fall when the prices of the things Canada sells fall, and rise when those prices rise. Oil is the clean example. The same move reaches metals, lumber, potash, and a wide set of exports.

A firm paid in US dollars and paying wages in loonies gets part of a cheaper sale back at the border. A cheaper loonie also makes other exports easier to sell, so a region that missed the price hit can pick up some of the slack. Without that move, the shock lands on layoffs and wage cuts. Imports cost more. That is the price of the absorber, and it is still smaller than taking the whole hit in jobs.

Full dollarization removes the move. The wage is in US dollars too, so a cheaper export price is just a cheaper export price. The three-way book does not make that trade. The loonie still floats. A US-regulated dollar stablecoin can settle the invoice. Bitcoin is there for anyone who wants a stock neither government prints. The paycheck can stay in loonies. The invoice can clear in dollars. The savings can leave both.

Cobb-Douglas: a level, not a takeoff

This is a level shift, not a faster growth rate. Output is $Y = AK^{\alpha} L^{(1-\alpha)}$, with α about one third. It comes from technology, capital, and labour. Canada borrows at a world rate, so the hurdle on a new project is set abroad.

Two costs sit on top of that hurdle. One is the capital-gains tax on using Bitcoin. The other is a US-dollar invoice that can only be settled in a foreign account. Canada is an exporting country, so those switches are routine, not exotic. The extra cost is a toll. The projects that die under a toll, even though the real return was already high enough, are a deadweight loss. Fewer projects get built than the economics justify.

Take those costs off and more projects get built. The capital stock gets a little deeper. The return on the next plant eases back toward the world rate. That is normal. More capital against the same required return means the next unit earns a bit less.

Bitcoin held as savings is not a machine. It does not count as capital. The help is simpler than that. Payroll and settlement can book in Canada, because a payment is no longer a tax event. And the profit those projects earn is harder to water down, because a household can leave either printer. Growth each year is still population plus productivity. The statute does not build the plant. It gets a toll out of the way.

Who holds it

This is Bitcoin as a micro tool for independent economic actors: households, firms, pensions, provinces, municipalities, reserves, and companies. They can hold it as their own private check on the loonie or the dollar. Ottawa and the Bank of Canada do not need a Bitcoin reserve. Nothing is backed by Bitcoin. Self-custody stays protected. Banks and fintechs can build on the rail without a public mandate to hold it.

Geography

Canada’s best advantage is still geography. We sit next to the world’s largest customer and the deepest capital market. Prosperity comes from competing hard on that relationship, not from retaliation or from pretending the loonie is the only money that counts. Bitcoin does not replace that relationship. It strengthens the hand of anyone who wants a fixed-supply savings asset alongside it.

The status quo has a constituency

A lot of mainstream opinion still treats the loonie, as it is now, as the safe answer. Canadian nationalism can make that feel like the patriotic answer too. Both slow the change down.

Some people in Canada do lose if the toll comes off. A bank that lives off the foreign account. A desk that lives off the tax filing. A gatekeeper whose product is the friction. That loss is real. It is not the same thing as a loss for the country. Clearance, payroll, and custody can book here instead of somewhere else. Households get a door. The float stays. Canada is better off on net.

You can keep the loonie without charging people to use the other two.

The proposal

The proposal is therefore modest on purpose. Keep the loonie as tax currency and shock absorber. Recognize US-regulated dollar stablecoins for US-dollar debts. Do not issue or custody a made-in-Canada dollar stablecoin. Treat Bitcoin used as money, payroll, invoices, and settlement, as currency, not a taxable disposition. No pegs. No federal Bitcoin reserve. No forced acceptance.

Closing thoughts

Long the door. Flat the prophecy. The exit makes dramatic endings less likely, not more. It simply raises the cost of bad policy while the real work, building plants, skills, and competitive industries, continues.

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